



Samsung Owner Family's 2024 Block Deal

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I. Stock Purchase and Block Deal

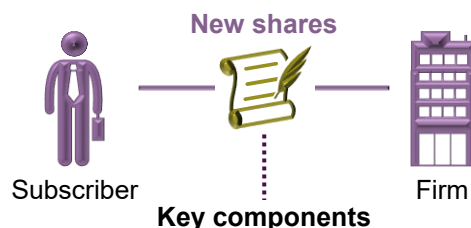
1. Stock Purchase Overview
2. Block Deal

Stock Purchase Overview

SSA and SPA mainly differ in whether the subject of the transaction is newly issued shares or existing shares, while the SHA covers broader provisions between shareholders and the company

Share Subscription Agreement (SSA)

- An agreement between the firm and the investor, or a subscriber, that involves the purchase of ownership in the company through **issuance of additional shares**



① Subscription details

Number of shares being issued, price per share, payment terms

② Reps⁽¹⁾ and warranties

Confirmation of key facts by the firm (e.g., accuracy of financials)

③ Covenants

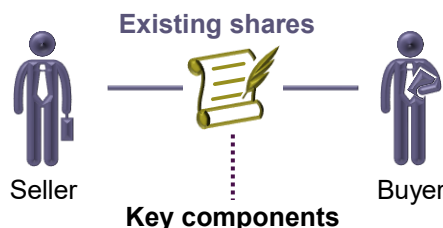
Promises about future actions (e.g., anti-dilution protection)

④ Indemnities

Investor compensation for company breach or false warranty

Share Purchase Agreement (SPA)

- An agreement that documents **the sale and purchase of existing shares** in a company, involving the transfer of ownership of shares from an existing shareholder to a buyer



① Purchase details

Number of shares being bought, price per share, payment terms

② Reps and warranties

Confirmation of key facts about the firm by the seller

③ Covenants

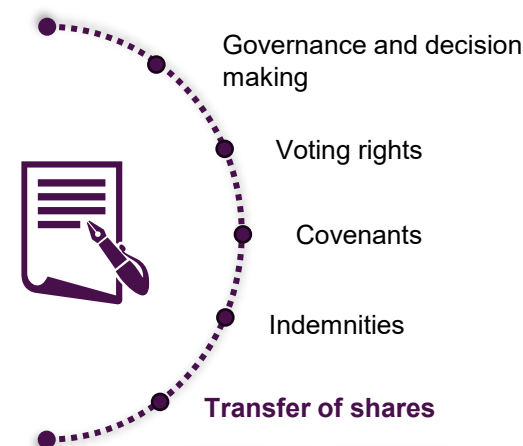
Pre- and post-closing obligations (e.g., conduct business ordinarily)

④ Indemnities

Compensation for breach of warranties of post-closing liabilities

Shareholders' Agreement (SHA)

- An agreement that summarizes **the rights of shareholders**, as well as the **relationship they have to one another and to the business**



Drag-along rights

- Require** minority shareholders to sell under the same terms as majority shareholders



Ensure deal closure

Tag-along rights

- Give minority shareholders the **right to join a sale** initiated by majority shareholders



Can protect minority shareholder

Block Deal Overview

Block deal refers to the privately organized large-scale trading of shares, typically conducted off-market and designed to minimize price fluctuations in the market

Procedure and key traits

Mandate underwriter	Book building	Transaction
Investment banks or brokerage firms	Assess demand and offer at a discount to the previous close	Off-market execution, either post-close or pre-open

1

Private negotiation



- Underwriters seek private bids to assess demand and set pricing

2

Purpose



- Used for exits of private equity, inheritance, or fundraising with reduced market impact

3

Less market impact



- Limit market impact via pre-set off-market trades

4

Pre-announcement requirement



- Major shareholders and executives of listed firms must pre-report trades⁽¹⁾ at least 30 days in advance

Block deal case studies by purposes

1

Exit of private equity

KKR

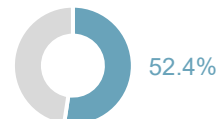


On February 19, 2025, KKR executed a block deal, selling 4.5% (2mn shares) of Hyundai Marine Solution among 24.2% of its stake, worth KRW295bn

2

Inheritance

Seok-jo Hong



On November 20, 2022, Seok-jo Hong, chairman of the BGF Group, executed a block deal, selling 20.0% (20mn shares) of BGF to his two sons, 10.0% each

3

Generation of funds

netmarble



On November 7, 2023, Netmarble executed a block deal, selling 6.0% (2.5mn shares) of Hybe among 18.1% of its stake, worth KRW530bn

II. Case Study: Samsung owner family's 2024 Block Deal

1. Lee Family's Succession Plan Timeline
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Lee Family's Succession Plan Timeline

Succession plans of the Samsung owner family, the Lee family, began in 1996 and have sparked controversies due to manipulative valuation of key affiliates to strengthen JY Lee's control over the group

Succession plan timeline

Key affiliates involved in succession plans

SAMSUNG SAMSUNG SDS SAMSUNG C&T SAMSUNG LIFE SERVICE

Succession plan timeline

December 17, 1996 Samsung Everland CB⁽¹⁾ case

- Jae-yong (JY) Lee and his three sisters acquired large stakes of Samsung Everland by **converting CBs issued at a significantly low price**
- Interpreted as a strategy to **increase control over the entire group by using the circular shareholding structure** which existed at the time



February 26, 1999 Samsung SDS BW⁽²⁾ case

- Samsung SDS issued BW to the Lee family through a third-party allotment **at a significantly low price**, which enabled JY Lee to acquire a large stake at a low cost

SAMSUNG SDS

July 2014 Samsung Everland changed its name into Cheil Industries Inc.



July 17, 2015 Approval of the merger between Cheil Industries Inc. and Samsung C&T

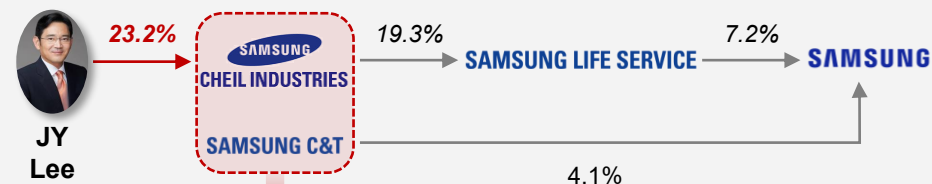
SAMSUNG C&T

November 2018 Controversy about accounting fraud of Samsung Biologics in 2015

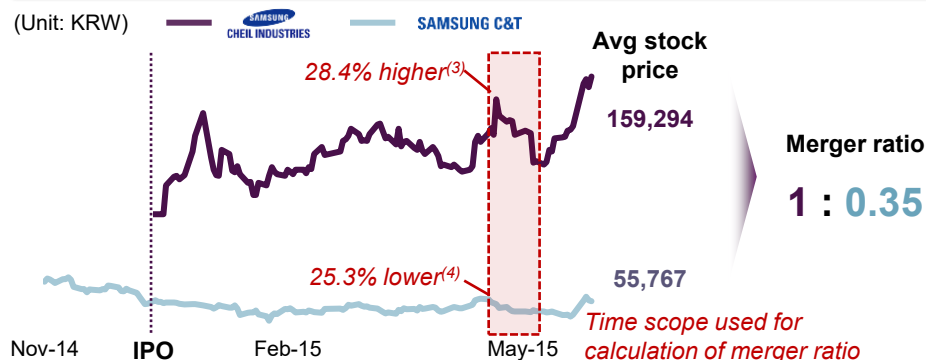
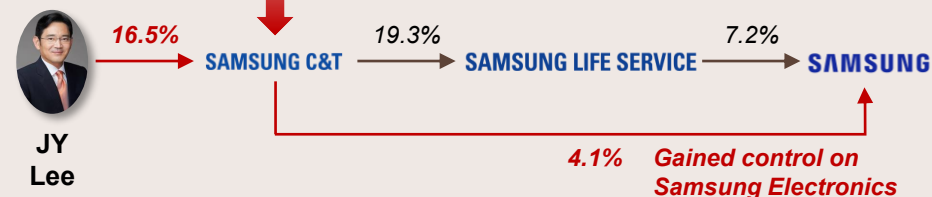
SAMSUNG BIOLOGICS

Merger between Cheil Industries Inc. and Samsung C&T

Pre-merger



Post-merger



There have been controversies about the fairness of merger ratio and accounting fraud of Samsung Biologics to overvalue Cheil Industry Inc.

Lee Family's Payment of Inheritance Tax

Lee family has chosen to pay KRW12trn in inheritance tax through the installment system, scheduled to be completed by April, 2026

Inheritance tax overview

Inheritance tax on Kun-hee Lee's legacy

Stakes on key subsidiaries ⁽¹⁾		Others	
Samsung Electronics	4.18%	Real estate	
Samsung C&T	2.88%	Artworks	
Samsung Life Insurance	20.76%	Cash & dividends	
Total	KRW18.9trn	Total	KRW7trn

KRW11trn



KRW1trn

KRW12trn

Key family members' portion



Jae-yong Lee
KRW3trn



Ra-hee Hong
KRW3trn



Boojin Lee
KRW3trn



Seo-hyun Lee
KRW2trn

Lee family is paying the inheritance tax through the **installment system**, which enables payment to be spread out over an extended period

Inheritance tax payment timeline

April 2021 First payment completed

March 2022

Block deal by Kun-hee Lee's wife Ra-hee Hong and his two daughters, Boojin Lee and Seo-hyun Lee (KRW2.1trn in total)

SAMSUNG SAMSUNG SDS SAMSUNG LIFE SERVICE

April 2022 Second payment completed

March 2023

Block deal by Seo-hyun Lee (KRW190bn in total)

SAMSUNG SDS

April 2023 Third payment completed

1 January 2024

Block deal by Ra-hee Hong, Boojin Lee, and Seo-hyun Lee (KRW3.2trn in total)

SAMSUNG SAMSUNG SDS SAMSUNG LIFE SERVICE SAMSUNG C&T

2 April 2024

Block deal by Boojin Lee (KRW446bn in total)

SAMSUNG

April 2024 Fourth payment completed

Lee Family's 2024 Block Deals

Lee family conducted two block deals worth a combined value of KRW3.2trn, primarily consisting of Samsung Electronics shares

1		January 11, 2024			
		Number of shares sold			
		SAMSUNG	SAMSUNG SDS	SAMSUNG C&T	SAMSUNG LIFE SERVICE
Sellers	Ra-hee Hong	19.3bn	n/a	n/a	n/a
	Boojin Lee	2.4mn	1.5mn	1.2mn	2.3mn
	Seo-hyun Lee	8.1mn	n/a	n/a	n/a
Selling price (KRW)		×	×	×	×
		73,600	163,097	120,086	61,655
		=	=	=	=
Total value (KRWbn)		2,190	247	145	143
Underwriters		Goldman Sachs	UBS	citi	J.P.Morgan

2		April 9, 2024	
		Number of shares sold	
		SAMSUNG	
Seller	Boojin Lee	5.2mn	
		$\times$	
Price band (KRW)		83,700-84,500	
		$=$	
Total value (KRWbn)		446.7	
Underwriter			



Transaction of shares at a discount to the previous day's closing price

- For Samsung Electronics, the discounts were 2.0% and ~0.95% in each deal, while Samsung C&T, Samsung SDS, and Samsung Life Service were discounted by 3.0%, 4.9%, and 5.0% in the first deal



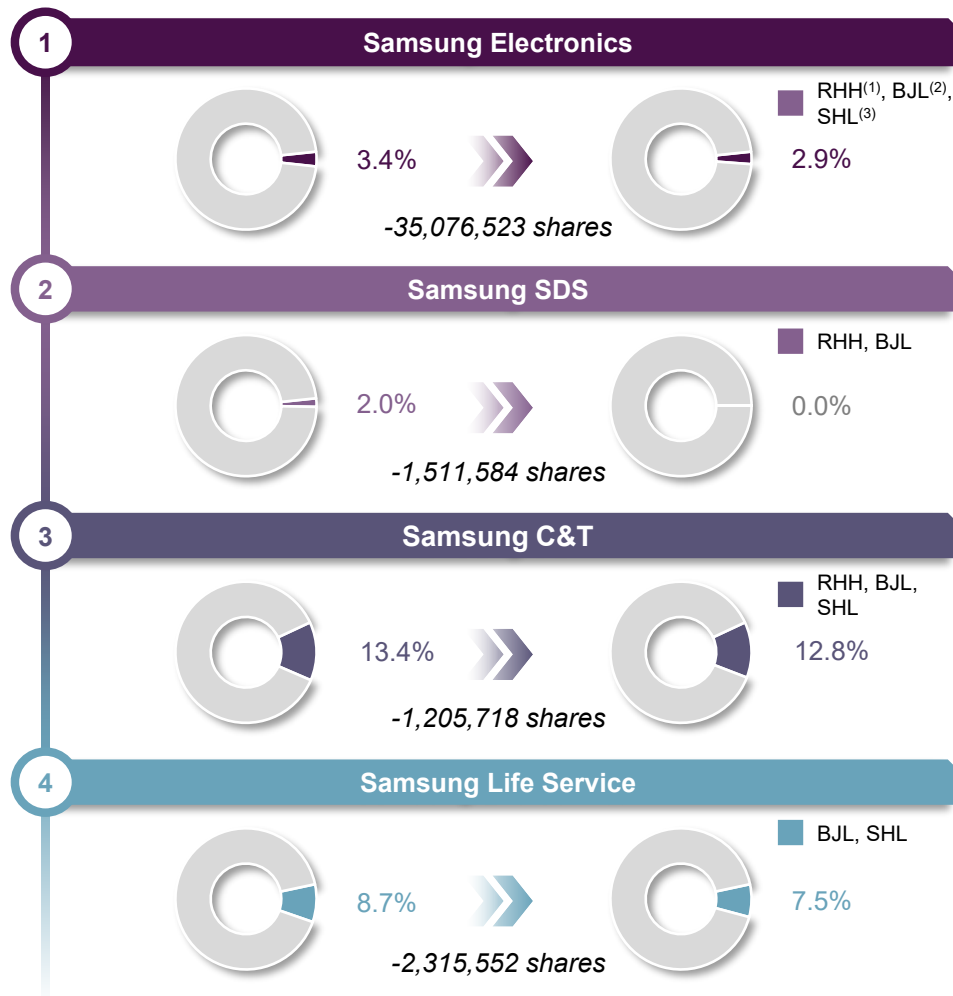
High proportion of foreign investor purchases

- Most of the shares sold in the block deals were purchased by foreign investors, since portfolio constraints of domestic pension funds made it difficult for them to rapidly increase their holdings in specific companies

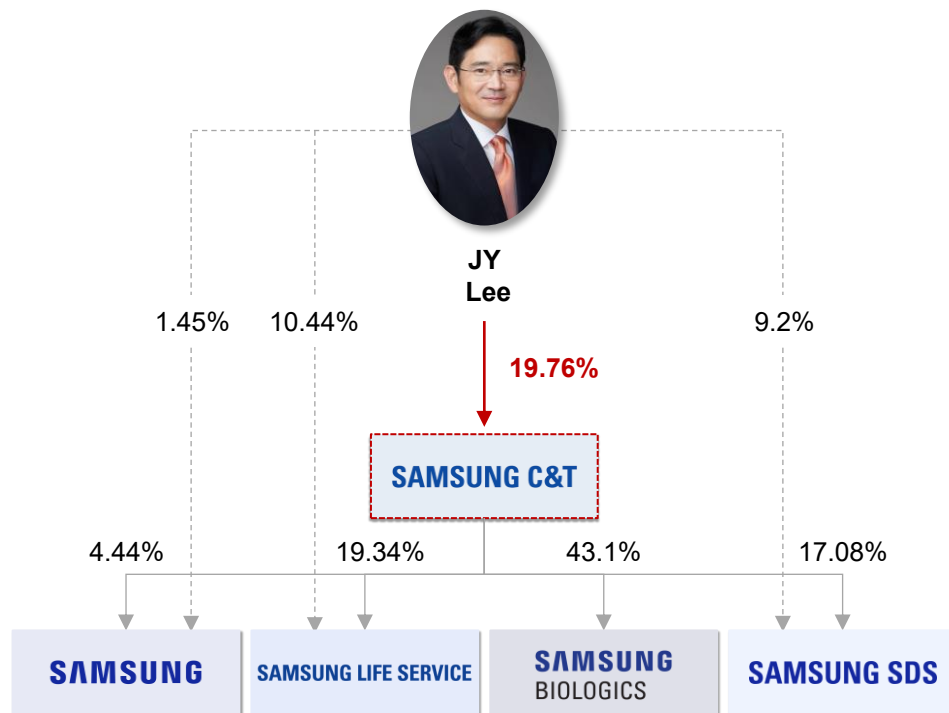
Lee Family's 2024 Block Deals (Cont'd)

While block deals reduced Lee family's stakes of key affiliates, the Samsung conglomerate's ownership structure is anchored by JY Lee and Samsung C&T since he maintained his stakes

Ownership structure changes due to block deals



Current Samsung conglomerate ownership structure⁽⁴⁾



- **Samsung C&T functions as a de facto holding company, and JY Lee, its largest shareholder, exercises influence over the entire group**
- **JY Lee has been preserving this influence by paying inheritance taxes solely through credit loans and dividends, without selling shares**

Lee Family's Future Plans Regarding Inheritance Tax

To cover the remaining inheritance tax payments, Lee family will continue using stock-backed loans and block deals, while seeking to boost share prices

Current status of stock-backed loans and stakes



Stock-backed loans

Key concept

Margin call

A situation when the value of the collateral of a loan falls below a certain level

Current status

Loan amount

Ra-hee Hong	KRW2,210bn
Boojin Lee	KRW250bn
Seo-hyun Lee	KRW248.8bn

Price floor = KRW58,700⁽¹⁾

November 2024

Ra-hee Hong collateralized additional 1.2mn shares⁽²⁾ of Samsung Electronics due to stock price decreases

Should deposit more money or additional collateral



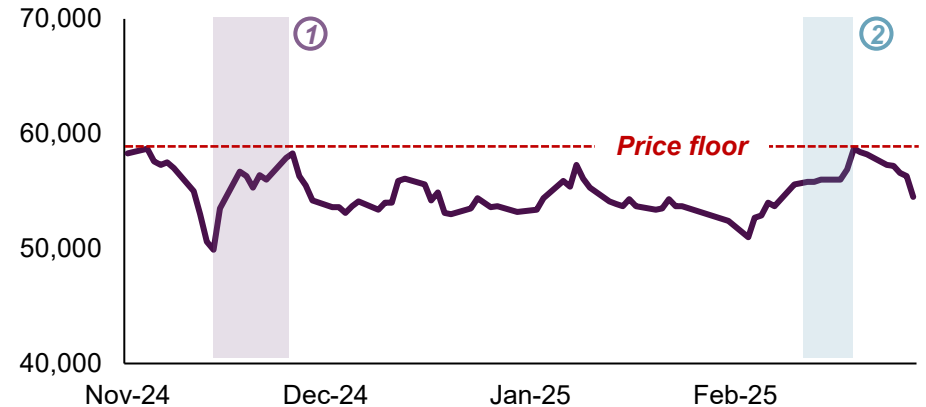
Stakes in key affiliates⁽³⁾

(Unit: KRWbn)

	SAMSUNG	SAMSUNG C&T	SAMSUNG LIFE SERVICE	SAMSUNG SDS
Ra-hee Hong	5,761	216	0	0.4
Boojin Lee	2,807	1,247	952	0
Seo-hyun Lee	2,781	1,391	286	0
Total	11,349	2,855	1,238	0.4

Recent share repurchase of Samsung Electronics

(Unit: KRW) — **SAMSUNG**



1 Announced its share repurchase plan **worth KRW10trn in total**, which is planned to be completed before May 16, 2025

2 Completed the first repurchase of 50mn common shares and 6.9mn preferred shares, worth KRW3.4trn in total, KRW48.7bn more than the initial plan

Members of Lee family can execute **additional block deals** for the two remaining payments of inheritance tax, and **decrease additional collateralization of stocks** by enhancing shareholder value



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